

STMicroelectronics (STMPA FP)

Buy: Guidance wobbles, demand roars

Equities
Semiconductors & Equipment

France

- ◆ Recovery delayed, not derailed: 3Q26 outlook softer, but demand signals stay strong with book-to-bill “close to 2”
- ◆ AI/Optics demand continues to rise, while distribution inventory is now below target levels
- ◆ Maintain Buy with TP lowered to EUR81.00 (from EUR84.00)

Recovery a bit slower – but still coming through: STM reported a mixed set of 2Q26 results and guided 3Q26 below our estimates (see [STMicro: 2Q first take - A slower recovery with encouraging demand commentary](#), 23 Jul 2026). The outlook was a clear disappointment versus recent price/AI optimism (see [From trough to throttle, 29 June 2026](#)), but we see this as a call on the shape of the recovery and not its existence. Management’s commentary on (A) book-to-bill “close to 2” overall, (B) distribution inventory below company’s target levels, (C) ongoing price increases, and (D) net capex now expected at the high end of its USD2-2.2bn range, corroborates our view of a strong underlying demand upturn. Combined with progress on the manufacturing reshaping plan, we still see scope for a strong margin and earnings recovery over the next few years. Reflecting results and softer 3Q outlook, we lower our FY26/27 adj. operating income estimates by 4.4%/5.9%. We now model adj. EPS of USD4.1/USD6.2 in 2028/2030e, still up strongly from USD0.5/USD1.4 in 2025/2026e, respectively. Maintain Buy.

Changes to estimates: Reflecting the Jun-Q results, Sep-Q outlook, and management’s commentary, we lower our 2026/2027 revenue estimates by 1.7%/1.1% and our adjusted operating income estimates by 4.4%/5.9%.

Lower TP to EUR81 (from EUR84): Our valuation methodology is unchanged. With the upturn now underway (even if the trajectory is different to what we had expected going into results), we still expect margins to recover materially over the next few years (FY28/29 margins of 21.9%/25.3%, up from FY25 margin of 4.7%). We continue to value STM on a FY30e PE of 18x (unchanged) before discounting back the resultant fair value using a WACC of 9.67% (risk-free rate 4.25%, equity risk premium 4%, beta 1.35). This yields a target price of EUR81.00 per share (from EUR84.00) and USD93.00 (from USD97.00) for the ADRs (EUR/USD 1.15).



MAINTAIN BUY

TARGET PRICE (EUR)

81.00

PREVIOUS TARGET (EUR)

84.00

SHARE PRICE (EUR)

46.76

(as of 24 Jul 2026)

UPSIDE/DOWNSIDE

+73.2%

MARKET DATA

Market cap (EURm)	42,616	Free float	70%
Market cap (USDm)	48,446	BBG	STMPA FP
3m ADTV (USDm)	229	RIC	STMPA.PA

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	0.53	1.43	2.82	4.05
HSBC EPS (prev)	0.53	1.44	3.06	4.23
Change (%)	0.0	-1.2	-7.9	-4.3
Consensus EPS	0.60	1.34	2.66	3.74
PE (x)	101.0	37.3	18.9	13.1
Dividend yield (%)	0.7	0.7	0.7	0.7
EV/EBITDA (x)	21.8	14.4	8.6	6.2
ROE (%)	2.7	7.3	13.6	17.2

52-WEEK PRICE (EUR)



Source: Refinitiv IBES, HSBC estimates

Adithya Metuku*, CFA
Senior Global Technology Analyst
HSBC Bank plc
adithya.metuku@hsbc.com
+44 203 268 2960

Kalpesh Mahadik*, CFA
Associate
Bangalore

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Bank plc

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Financials & valuation: STMicroelectronics

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	11,799	14,524	17,412	19,641
EBITDA	2,029	3,136	5,086	6,646
Depreciation & amortisation	-1,854	-1,940	-2,200	-2,400
Operating profit/EBIT	175	1,196	2,886	4,246
Net interest	168	110	63	111
PBT	400	1,296	2,929	4,337
HSBC PBT	400	1,296	2,929	4,337
Taxation	-221	-194	-439	-651
Net profit (adjusted)	165	1,090	2,483	3,681
HSBC net profit	486	1,319	2,603	3,741
Cash flow summary (USDm)				
Cash flow from operations	2,152	2,429	4,540	5,773
Capex	-2,204	-2,300	-2,500	-2,800
Cash flow from investment	-43	-3,810	-2,500	-2,800
Dividends	-332	-333	-333	-333
Change in net debt	442	977	-1,376	-2,294
FCF equity	213	363	2,040	2,973
Balance sheet summary (USDm)				
Intangible fixed assets	639	1,355	1,235	1,195
Tangible fixed assets	11,058	11,248	11,668	12,108
Current assets	11,271	12,980	14,849	17,704
Cash & others	4,922	5,837	7,213	9,507
Total assets	24,800	27,571	29,740	32,995
Operating liabilities	3,979	4,481	4,667	4,784
Gross debt	2,133	4,025	4,025	4,025
Net debt	-2,789	-1,812	-3,188	-5,482
Shareholders' funds	17,828	18,219	20,202	23,340
Invested capital	14,067	15,265	15,872	16,716

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-11.1	23.1	19.9	12.8
EBITDA	-40.9	54.5	62.2	30.7
Operating profit	-89.6	583.2	141.4	47.1
PBT	-78.8	224.0	126.0	48.1
HSBC EPS	-68.5	170.9	97.4	43.7
Ratios (%)				
Revenue/IC (x)	0.9	1.0	1.1	1.2
ROIC	0.6	6.9	15.8	22.2
ROE	2.7	7.3	13.6	17.2
ROA	0.8	4.5	9.1	12.1
EBITDA margin	17.2	21.6	29.2	33.8
Operating profit margin	1.5	8.2	16.6	21.6
Net debt/equity	-15.3	-9.7	-15.5	-23.1
Net debt/EBITDA (x)	-1.4	-0.6	-0.6	-0.8
Per share data (USD)				
EPS Rep (diluted)	0.18	1.18	2.69	3.98
HSBC EPS (diluted)	0.53	1.43	2.82	4.05
DPS	0.36	0.36	0.36	0.36
Book value	19.31	19.70	21.85	25.24

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	3.7	3.1	2.5	2.1
EV/EBITDA	21.8	14.4	8.6	6.2
EV/IC	3.1	3.0	2.8	2.5
PE*	101.0	37.3	18.9	13.1
PB	2.8	2.7	2.4	2.1
FCF yield (%)	0.4	0.7	4.2	6.1
Dividend yield (%)	0.7	0.7	0.7	0.7

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	109.3	No. of board members	9
Energy intensity*	298.4	Average board tenure (years)	3.4
CO ₂ reduction policy	Yes	Female board members (%)	33.3
Social Indicators		Board members independence (%)	100
Employee costs as % of revenues	34.3		
Employee turnover (%)	6		
Diversity policy	Yes		

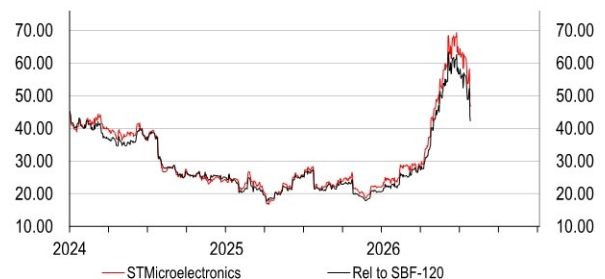
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh, respectively, against revenue in USD '000s.

Issuer information

Share price (EUR)	46.76	Free float	70%
Target price (EUR)	81.00	Sector	Semiconductors
RIC (Equity)	STMPA.PA	Country/Region	France
Bloomberg (Equity)	STMPA FP	Analyst	Adithya Metuku, CFA
Market cap (USDm)	48,446	Contact	+44 203 268 2960

Price relative



Source: HSBC

Note: Priced at close of 24 Jul 2026

Key conference call takeaways

2026 demand and growth expectations

- ◆ **Demand trends:** STM witnessed further acceleration in demand in Q2 with book-to-bill ratio 'close to 2 overall'. It was 'well above 1' in all of its end markets, while that for Communication Equipment & Computer Peripherals was 'significantly above 2', driven by optical connectivity including silicon photonics. Management saw improved visibility and signs of tight supply in several of its product categories.
- ◆ **Distribution inventory** decreased further in Q2 and is now below company's target levels.
- ◆ **Pricing and input costs:** Management acknowledged input inflation but noted that this is being more than offset by STM's price actions on the top line. STM's price increases will continue to help drive revenue into future quarters as price increases come at different paces in different markets.
- ◆ **Segmental growth:** Management provided its growth expectations for its segment through H2 2026. The CECF segment revenue growth is expected at similar levels of Q2 – i.e. c.60% in Q3 2026 before strongly accelerating in Q4 to c.90% y-o-y. In Industrial, growth will improve through Q3 and Q4 to reach 40% y-o-y levels in Q4. Automotive to grow at low double digits, while Personal Electronics (PE) is expected to grow in the low-to-mid single digits in FY26.
- ◆ **Gross margin** guide of 37% +/- 2ppt includes a 70bp drag from unused capacity charges. For Q4, management confirmed q-o-q improvement from Q3 levels, but did not commit to the quantum of margin expansion. Management cited a lack of FX boost and drag from unloading charges as factors limiting the Q4 margin expansion sequentially when compared to the improvement expected in Q3.
- ◆ **Silicon Carbide (SiC)** revenue growth is back to growth territory with low-teens y-o-y growth in Q2. Management expects double-digit y-o-y growth in FY2026, supported by strong bookings (book-to-bill well above 1) and design wins.
- ◆ Management now guides for 2026 net capex at high end of its USD2-2.2bn range, as the company accelerates investments in selected growth areas, including cloud optical interconnect.

2027

- ◆ Management expects Q1 2027 to be better than normal seasonality, as more than 50% of Q2 2026 bookings were for 2027.
- ◆ On AI data centre, management raised its guidance for AI DC revenue to be "above USD1bn" in 2026 and "well above USD2bn" in 2027, with optical cable connectivity being the main growth driver in 2027. Management confirmed that, with ongoing capacity expansion at its Crolles factory, the company is now not gated by capacity to capture the revenue growth in silicon photonics IC segment.

Other

- ◆ Company's management reiterated its model of reaching >40% gross margin at USD4bn quarterly revenue. However, the same is conditional upon completion of its manufacturing reshaping programme (moving from 200mm to 300mm for Silicon and 150mm to 200mm for SiC), which is targeted by the end of 2027.
- ◆ Management also confirmed its 2028 target to reach USD18bn revenue in 2028, while the gross margin target of 45% is conditional upon on-time completion of the manufacturing reshaping programme.

Changes to estimates

Reflecting results (see [STMicro: 2Q first take - A slower recovery with encouraging demand commentary](#), 23 Jul 2026), outlook and management's commentary, we lower our 2026/2027/2028 revenue estimates by 1.7%/1.1%/0.1% and our adjusted operating income estimates by 4.4%/5.9%/2.3%.

STMicroelectronics – Changes to our estimates

USD m	New				Old				Change			
	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e
Total net revenue	14,524	17,412	19,641	23,225	14,773	17,610	19,657	23,257	-1.7%	-1.1%	-0.1%	-0.1%
% change y-o-y	23%	20%	13%	8%	25%	19%	12%	8%	(211bps)	69bps	118bps	(2bps)
Gross profit (reported)	5,243	7,139	8,740	11,264	5,318	7,308	8,747	11,279	-1.4%	-2.3%	-0.1%	-0.1%
Gross margin	36.1%	41.0%	44.5%	48.5%	36.0%	41.5%	44.5%	49%	10bps	(50bps)	0bps	0bps
R&D	2,222	2,438	2,652	2,833	2,231	2,465	2,654	2,837	-0.4%	-1.1%	-0.1%	-0.1%
(% of sales)	15%	14%	14%	12%	15%	14%	14%	12%	20bps	0bps	0bps	0bps
SG&A	1,786	1,915	2,062	2,253	1,773	1,867	1,966	2,163	0.8%	2.6%	4.9%	4.2%
(% of sales)	12%	11%	11%	10%	12%	11%	10%	9%	30bps	40bps	50bps	40bps
Operating income	1,196	2,886	4,246	6,398	1,284	3,036	4,348	6,499	-6.9%	-4.9%	-2.3%	-1.6%
% margin	8.2%	16.6%	21.6%	27.5%	8.7%	17.2%	22.1%	28%	(46bps)	(67bps)	(50bps)	(40bps)
Adj op income *	1,454	3,006	4,306	6,458	1,520	3,196	4,408	6,559	-4.4%	-5.9%	-2.3%	-1.5%
margin %	10.0%	17.3%	21.9%	27.8%	10.3%	18.1%	22.4%	28%	(28bps)	(89bps)	(50bps)	(40bps)
Profit before tax (reported)	1,296	2,929	4,337	6,689	1,306	3,108	4,484	6,861	-0.8%	-5.8%	-3.3%	-2.5%
Income tax	194	439	651	1,003	196	466	673	1,029	-0.8%	-5.8%	-3.3%	-2.5%
Tax rate	15%	15%	15%	15%	15%	15%	15%	15%	0bps	0bps	0bps	0bps
Net income (reported)	1,102	2,489	3,687	5,686	1,110	2,642	3,811	5,832	-0.8%	-5.8%	-3.3%	-2.5%
Net income adjusted	1,090	2,483	3,681	5,680	1,100	2,636	3,805	5,826	-0.9%	-5.8%	-3.3%	-2.5%
Diluted EPS (USD)	1.18	2.69	3.98	6.14	1.20	2.88	4.16	6.37	-2.0%	-6.8%	-4.3%	-3.6%
Adj. EPS diluted* (USD)	1.43	2.82	4.05	6.21	1.44	3.06	4.23	6.44	-1.2%	-7.9%	-4.3%	-3.6%

Source: HSBC estimates

* Adjusted for restructuring, impairment and other closure costs

Valuation: Lower target price to EUR81 (from EUR84)

We value the shares using a FY30e PE of 18x (unchanged) and discount the resulting fair value by two years, using a WACC of 9.67% (calculated using a risk-free rate of 4.25%, equity risk premium of 4%, and beta of 1.35). This leads to our target price of EUR81.00 per share (from EUR84.00) and USD93.00 (from USD97.00) for the ADRs (using EUR/USD FX rate of 1.15).

At our target price, STM trades on FY27/28e PE of 33.1x/23x, which compares to STM's 5-year average forward 12m PE of 15x and range of 8.3-40.2x.

STMicroelectronics: Valuation – base, bull, and bear scenario analysis

USDm, unless otherwise mentioned	Bear case				Base case				Bull case			
	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e	2026e	2027e	2028e	2030e
Total net revenue	14,173	16,421	18,052	20,331	14,524	17,412	19,641	23,225	14,583	18,171	21,053	25,810
% change y-o-y	20.1%	15.9%	9.9%	5.7%	23.1%	19.9%	12.8%	8.3%	23.6%	24.6%	15.9%	10.3%
Gross profit (reported)	5,017	6,503	7,726	9,352	5,243	7,139	8,740	11,264	5,294	7,668	9,726	13,086
Gross margin	35.4%	39.6%	42.8%	46.0%	36.1%	41.0%	45%	49%	36.3%	42.2%	46.2%	50.7%
R&D	2,218	2,422	2,572	2,745	2,222	2,438	2,652	2,833	2,224	2,453	2,695	2,891
(% of sales)	16%	15%	14%	14%	15%	14%	14%	12%	15%	14%	12.8%	11.2%
SG&A	1,779	1,888	2,022	2,196	1,786	1,915	2,062	2,253	1,791	1,944	2,126	2,375
(% of sales)	13%	12%	11%	11%	12%	11%	11%	10%	12%	11%	10.1%	9.2%
Other operating expense	39	-100	-220	-220	39	-100	-220	-220	39	-100	-220	-220
Operating income	981	2,292	3,352	4,632	1,196	2,886	4,246	6,398	1,240	3,371	5,125	8,041
% margin	7%	14%	19%	23%	8%	17%	22%	28%	9%	19%	24%	31%
Other income	100	43	91	291	100	43	91	291	100	43	91	291
Profit before tax (reported)	1,082	2,335	3,443	4,923	1,296	2,929	4,337	6,689	1,340	3,413	5,216	8,332
Income Tax	162	350	516	738	194	439	651	1,003	201	512	782	1,250
Tax rate	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%	15%
Net income (reported)	920	1,985	2,926	4,185	1,102	2,489	3,687	5,686	1,139	2,901	4,434	7,082
Adjustments (minority interest)	217	114	54	54	217	114	54	54	217	114	54	54
Net income adjusted	1,137	2,099	2,980	4,239	1,319	2,603	3,741	5,740	1,356	3,015	4,488	7,136
Diluted EPS adjusted	1.23	2.27	3.22	4.58	1.43	2.82	4.05	6.21	1.47	3.26	4.85	7.72
Weighted average shares outstanding (m) – diluted	924.6	924.6	924.6	924.6	924.6	924.6	924.6	924.6	924.6	924.6	924.6	924.6
Fair value per share (in EUR)	32	32	32	32	81	81	81	81	106	106	106	106
Valuation metrics (x)												
EV/EBIT	33.0	13.7	8.9	5.3	70.5	28.7	19.0	11.4	89.1	32.3	20.7	12.0
PE	30.0	16.2	11.4	8.0	65.3	33.1	23.0	15.0	82.8	37.3	25.0	15.7
PE ex cash	28.5	15.0	10.0	5.8	63.9	31.8	21.5	12.7	81.5	36.1	23.6	13.5

Source: HSBC estimates

Catalysts

We expect an update on demand trends and 4Q26 outlook at STM's September quarter results on 29 October 2026. Any datapoints on end-market demand from analog and optoelectronics peers over the coming months may also be catalysts.

Financials

Underloading charges – historical & forecasts

USDm	1Q26	2Q26	3Q26e	4Q26e	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	3,095	3,487	3,733	4,209	17,286	13,269	11,799	14,524	17,412	19,641	21,441	23,225
Adj. gross profit	1,045	1,215	1,381	1,602	8,287	5,221	3,998	5,243	7,139	8,740	10,077	11,264
Adj. gross margin (%)	33.8%	34.8%	37.0%	38.1%	47.9%	39.3%	33.9%	36.1%	41.0%	44.5%	47.0%	48.5%
Underloading charges – total	69	37	25	20	119	369	416	151	35	0	0	0
Underlying gross margin (%)	36.0%	35.9%	37.7%	38.5%	48.6%	42.1%	37.4%	37.1%	41.2%	44.5%	47.0%	48.5%

Source: Company data, HSBC estimates

Group revenue by end market

	1Q26	2Q26	3Q26e	4Q26e	2023	2024	2025	2026e	2027e
Automotive	1,133	1,276	1,324	1,507	7,087	6,071	4,596	5,239	5,659
% change q-o-q	-10.5%	12.7%	3.7%	13.8%					
% change y-o-y	15.4%	15.4%	7%	19%		-14.3%	-24.3%	14.0%	8.0%
% of total revenue	37%	37%			41%	46%	39%	36%	32%
Industrial	662	802	957	959	5,186	2,660	2,472	3,380	4,405
% change q-o-q	-0.5%	21.1%	19.3%	0.2%					
% change y-o-y	25.3%	31.8%	43%	44%		-48.7%	-7.0%	36.7%	30.3%
% of total revenue	21%	23%			30%	20%	21%	23%	25%
Personal electronics	743	767	802	699	3,284	2,850	2,966	3,011	2,951
% change q-o-q	-14.2%	3.3%	4.5%	-12.8%					
% change y-o-y	23.0%	20.6%	-6.8%	-19.2%		-13.2%	4.1%	1.5%	-2.0%
% of total revenue	24%	22%			19%	21%	25%	21%	17%
Communications equipment & computer peripherals	557	642	650	1,045	1,729	1,689	1,765	2,894	4,399
% change q-o-q	4.6%	15.2%	1.4%	60.6%					
% change y-o-y	38.3%	54.6%	57%	96%		-2.3%	4.5%	64.0%	52.0%
% of total revenue	18%	18%			10%	13%	15%	20%	25%

Source: Company data, HSBC estimates

Group revenue split by division

USD m	1Q 26	2Q 26	3Q 26e	4Q 26e	2025	2026e	2027e	2028e	2029e	2030e
Total net revenue	3,095	3,487	3,733	4,209	11,799	14,524	17,412	19,641	21,441	23,225
% change q-o-q	-7.0%	12.7%	7.1%	12.8%						
% change y-o-y	23.0%	26.1%	17.1%	26.4%	-11.1%	23.1%	19.9%	12.8%	9.2%	8.3%
Analog products, MEMS and Sensors (AM&S)	1,318	1,426	1,549	1,443	5,085	5,736	6,043	6,496	7,059	7,532
% change q-o-q	-9.0%	8.2%	8.6%	-6.8%						
% change y-o-y	23.3%	25.9%	8.0%	-0.4%	-6.4%	12.8%	5.3%	7.5%	8.7%	6.7%
% of total revenue	43%	41%	41%	34%	43%	39%	35%	33%	33%	32%
Power and discrete products (P&D)	389	464	487	480	1,685	1,820	2,041	2,293	2,573	2,892
% change q-o-q	-5.6%	19.3%	4.9%	-1.4%						
% change y-o-y	-2.0%	3.8%	13.5%	16.5%	-31.5%	8.0%	12.1%	12.3%	12.2%	12.4%
% of total revenue	13%	13%	13%	11%	14%	13%	12%	12%	12%	12%
Analog, Power & Discrete, MEMS, and Sensors (APMS)	1,707	1,890	2,036	1,923	6,770	7,556	8,083	8,789	9,632	10,424
% change q-o-q	-8.3%	10.7%	7.7%	-5.5%						
% change y-o-y	16.4%	19.6%	9.3%	3.3%	-14.2%	11.6%	7.0%	8.7%	9.6%	8.2%
% of total revenue	55%	54%	55%	46%	57%	52%	46%	45%	45%	45%
Microcontrollers (MCU)	975	1,147	1,210	1,393	3,580	4,726	5,778	6,471	7,219	7,991
% change q-o-q	-3.9%	17.6%	5.5%	15.1%						
% change y-o-y	31.4%	35.4%	24.0%	37.3%	-7.1%	32.0%	22.3%	12.0%	11.6%	10.7%
% of total revenue	32%	33%	32%	33%	30%	33%	33%	33%	34%	34%
Digital ICs and RF Products (D&RF)	409	445	483	889	1,436	2,226	3,534	4,364	4,573	4,793
% change q-o-q	-8.9%	8.8%	8.5%	84.0%						
% change y-o-y	33.7%	32.4%	40.0%	98.0%	-5.0%	55.0%	58.8%	23.5%	4.8%	4.8%
% of total revenue	13%	13%	13%	21%	12%	15%	20%	22%	21%	21%
Microcontrollers, Digital ICs, and RF products (MDRF)	1,384	1,592	1,693	2,282	5,016	6,951	9,312	10,835	11,792	12,784
% change q-o-q	-5.5%	15.0%	6.4%	34.8%						
% change y-o-y	32.1%	34.6%	28.2%	55.9%	-6.5%	38.6%	34.0%	16.4%	8.8%	8.4%
% of total revenue	45%	46%	45%	54%	43%	48%	53%	55%	55%	55%
Other	4	5	4	4	13	17	17	17	17	17

Source: Company data, HSBC estimates

Income statement

USDm, unless specified	1Q 26	2Q 26	3Q 26e	4Q 26e	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Net Revenues	3,095	3,487	3,733	4,209	17,286	13,269	11,799	14,524	17,412	19,641	21,441	23,225
y-o-y %	23.0%	26.1%	17.1%	26.4%	7.2%	-23.2%	-11.1%	23.1%	19.9%	12.8%	9.2%	8.3%
q-o-q %	-7.0%	12.7%	7.1%	12.8%								
Cost of Sales	2,050	2,272	2,352	2,607	8,999	8,048	7,801	9,281	10,273	10,901	11,364	11,961
as % of sales	66.2%	65.2%	63.0%	61.9%	52.1%	60.7%	66.1%	63.9%	59.0%	55.5%	53.0%	51.5%
Gross Profit	1,045	1,215	1,381	1,602	8,287	5,221	3,998	5,243	7,139	8,740	10,077	11,264
Gross Margin (%)	33.8%	34.8%	37.0%	38.1%	47.9%	39.3%	33.9%	36.1%	41.0%	44.5%	47.0%	48.5%
Selling, general and administrative	429	444	454	460	1,632	1,649	1,632	1,786	1,915	2,062	2,144	2,253
as % of sales	13.9%	12.7%	12.2%	10.9%	9.4%	12.4%	13.8%	12.3%	11.0%	10.5%	10.0%	9.7%
Research and development	520	551	567	584	2,100	2,078	2,043	2,222	2,438	2,652	2,787	2,833
as % of sales	16.8%	15.8%	15.2%	13.9%	12.1%	15.7%	17.3%	15.3%	14.0%	13.5%	13.0%	12.2%
Other operating (income)/expenses:	(45)	(25)	(25)	(20)	(56)	(182)	(228)	(120)	(160)	(220)	(220)	(220)
as % of sales	-1.5%	-0.7%	-0.7%	-0.5%	-0.3%	-1.4%	-1.9%	-0.8%	-0.9%	-1.1%	-1.0%	-0.9%
Operating Income	70	187	370	563	4,611	1,676	175	1,196	2,886	4,246	5,366	6,398
Operating margin %	2.3%	5.4%	9.9%	13.4%	26.7%	12.6%	1.5%	8.2%	16.6%	21.6%	25.0%	27.5%
Adj op income**	171	269	400	593	4,611	1,676	551	1,454	3,006	4,306	5,426	6,458
margin %	5.5%	7.7%	10.7%	14.1%	26.7%	12.6%	4.7%	10.0%	17.3%	21.9%	25.3%	27.8%
Interest income (net)	26	26	31	28	171	227	168	110	63	111	191	311
Other non-operating costs	-43	42	-5	(4)	(20)	(16)	57	(10)	(20)	(20)	-20	-20
PBT	53	255	396	587	4,762	1,887	400	1,296	2,929	4,337	5,537	6,689
Provision/(benefit) for income taxes	10	30	59	95	540	312	221	194	439	651	831	1,003
Tax Rate	19%	12%	15%	16%	11%	17%	55%	15%	15%	15%	15%	15%
Net income	43	225	336	492	4,222	1,575	179	1,102	2,489	3,687	4,706	5,686
Net income attributable to parent co stockholders	37	222	335	491	4,211	1,568	165	1,090	2,483	3,681	4,700	5,680
Adj. EPS diluted*	0.13	0.31	0.39	0.56	4.46	1.67	0.53	1.43	2.82	4.05	5.15	6.21

Source: Company data, HSBC estimates

* attributable to parent co stockholders

** Adjusted for restructuring, impairment and other closure costs as well as PPA charges

Balance Sheet

Fiscal Quarter / Year ending, USD m	1Q 26	2Q 26	3Q 26e	4Q 26e	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
ASSETS												
Cash, short term deposits and marketable securities	4,571	6,032	5,721	5,837	6,083	6,184	4,922	5,837	7,213	9,507	12,938	17,201
Trade accounts receivable, net	1,820	2,067	2,074	2,338	1,731	1,749	1,745	2,338	2,708	3,055	3,335	3,612
Inventories	3,173	3,188	3,360	3,395	2,698	2,794	3,136	3,395	3,518	3,733	3,892	4,096
Other current assets	1,263	1,410	1,410	1,410	1,295	1,007	1,468	1,410	1,410	1,410	1,410	1,410
Total current assets	10,827	12,697	12,564	12,980	11,807	11,734	11,271	12,980	14,849	17,704	21,575	26,320
Intangible Assets	1,457	1,452	1,404	1,355	670	636	639	1,355	1,235	1,195	1,190	1,230
Property, plant and equipment, net	10,959	10,895	11,079	11,248	10,554	10,877	11,058	11,248	11,668	12,108	12,563	13,123
Non-current deferred tax assets	436	435	435	435	592	464	408	435	435	435	435	435
Long Term Investment and other non-current assets	1,451	1,553	1,553	1,553	830	1,032	1,424	1,553	1,553	1,553	1,553	1,553
Total non-current assets	14,303	14,335	14,470	14,591	12,646	13,009	13,529	14,591	14,891	15,291	15,741	16,341
Total assets	25,130	27,032	27,034	27,571	24,453	24,743	24,800	27,571	29,740	32,995	37,316	42,661
LIABILITIES & EQUITY												
Liabilities:												
Short-term debt	319	1,063	1,063	1,063	217	990	298	1,063	1,063	1,063	1,063	1,063
Trade accounts payable	1,436	1,774	1,568	1,738	1,856	1,323	1,487	1,738	1,924	2,041	2,128	2,240
Other payables and accrued liabilities	1,456	1,671	1,671	1,671	1,579	1,394	1,529	1,671	1,671	1,671	1,671	1,671
Accrued and Deferred Income Tax	57	62	62	62	78	66	37	62	62	62	62	62
Total current liabilities	3,268	4,570	4,364	4,534	3,730	3,773	3,351	4,534	4,720	4,837	4,924	5,036
Long-term debt	2,250	2,962	2,962	2,962	2,710	1,963	1,835	2,962	2,962	2,962	2,962	2,962
Total other liabilities:	1,441	1,450	1,450	1,450	1,161	1,328	1,389	1,450	1,450	1,450	1,450	1,450
Post-employment benefit obligations	380	382	382	382	372	377	403	382	382	382	382	382
Long-term deferred tax liabilities	58	58	58	58	54	47	60	58	58	58	58	58
Other long-term liabilities	1,003	1,010	1,010	1,010	735	904	926	1,010	1,010	1,010	1,010	1,010
Total non-current liabilities	3,691	4,412	4,412	4,412	3,871	3,291	3,224	4,412	4,412	4,412	4,412	4,412
Total liabilities	6,959	8,982	8,776	8,946	7,601	7,064	6,575	8,946	9,132	9,249	9,336	9,448
Equity:												
Common Stock	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157	1,157
Additional Paid in Capital	3,331	3,373	3,373	3,373	2,866	3,088	3,281	3,373	3,373	3,373	3,373	3,373
Retained Earnings	13,118	12,888	13,097	13,463	12,470	13,565	13,082	13,463	15,446	18,584	22,817	28,051
Accumulated Other Comprehensive Income	798	732	732	732	613	236	945	732	732	732	732	732
Treasury Stock	(636)	(506)	(506)	(506)	(377)	(491)	(637)	(506)	(506)	(506)	(506)	(506)
Parent company stockholders' equity	17,768	17,644	17,853	18,219	16,729	17,555	17,828	18,219	20,202	23,340	27,573	32,807
Non-controlling interest	403	406	406	406	123	124	397	406	406	406	406	406
Total equity	18,171	18,050	18,259	18,625	16,852	17,679	18,225	18,625	20,608	23,746	27,979	33,213
Total liabilities and equity	25,130	27,032	27,034	27,571	24,453	24,743	24,800	27,571	29,740	32,995	37,316	42,661

Source: Company data, HSBC estimates

Cash flow statement

Fiscal Quarter / Year ending, USDm	1Q 26	2Q 26	3Q 26e	4Q 26e	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Cash flows from operating activities:												
Net income	43	225	336	492	4,222	1,575	180	1,102	2,489	3,687	4,706	5,686
Items to reconcile net income and cash flows from operating activities:												
Depreciation and amortization	454	492	490	504	1,561	1,760	1,854	1,940	2,200	2,400	2,550	2,600
Non-cash stock-based compensation	47	60	60	60	236	222	193	227	240	200	265	275
Other non-cash items	-35	-186	-25	-25	-125	-213	(100)	-271	-100	-100	-100	-100
Deferred income tax	-23	2	4	6	19	124	17	-12	26	39	50	60
Changes in assets and liabilities:												
Trade receivables, net	-77	-247	-7	-265	229	-32	5	-595	-370	-347	-280	-277
Inventories	-3	-42	-172	-35	-72	-167	-172	-252	-124	-215	-159	-204
Trade payables	-8	338	-206	170	-238	-35	83	294	186	117	87	112
Other assets and liabilities, net	85	-94	0	0	159	(261)	(59)	(9)	(9)	(9)	(9)	(9)
Net cash from operating activities	534	502	480	907	5,992	2,975	2,152	2,429	4,540	5,773	7,110	8,142
Cash flows used in investing activities:												
Payment for purchase of tangible assets	(549)	(453)	(600)	(598)	(4,439)	(3,088)	(2,111)	(2,200)	(2,400)	(2,600)	(2,750)	(2,900)
Proceeds from capital grants and other contributions	167	34	0	0	320	441	258	201	0	0	0	0
Proceeds from sale of tangible assets	3	0	0	0	8	5	9	3	0	0	0	0
Payment for purchase of marketable securities	0	0	0	0	(1,653)	(2,980)	(354)	0	0	0	0	0
Proceeds from matured marketable securities	150	0	0	0	750	2,251	1,900	150	0	0	0	0
Net proceeds from (investment in) short-term deposits	-750	-249	0	0	(645)	(225)	350	(999)	0	0	0	0
Payment for purchase of intangible assets	(17)	(31)	(25)	(27)	(97)	(93)	(93)	(100)	(100)	(200)	(250)	(300)
Payment for purchase of financial assets	17	13	0	0	(10)	(53)	(2)	30	0	0	0	0
Payment for business acquisitions, net of cash acquired	-895	0	0	0	0	0	0	(895)	0	0	0	0
Net cash used in investing activities	-1,874	-686	-625	-625	-5,766	-3,742	-43	-3,810	-2,500	-2,800	-3,000	-3,200
Cash flows used in financing activities:												
Proceeds from long-term debt	590	0	0	0	329	300	0	590	0	0	0	0
Repayment of long-term debt	-117	0	0	0	(169)	(203)	(239)	(117)	0	0	0	0
Repurchase of common stock	0	-86	-86	-86	(346)	(359)	(367)	(258)	-346	-346	-346	-346
Dividends paid to stockholders	-71	-75	-80	-80	(229)	(293)	(325)	(307)	(333)	(333)	(333)	(333)
Proceeds from advances on capital grants					152	344	0	0	0	0	0	0
Payment for withholding tax on vested shares	0	0	0	0	(54)	(44)	(23)	0	0	0	0	0
Other Financing activities	-4	63	0	0	(2)	(4)	(12)	59	0	0	0	0
Proceeds from noncontrolling interests	0	0	0	0	52	104	156	0	0	0	0	0
Net cash used in financing activities	398	1,392	-166	-166	-267	-155	-1,560	1,457	-679	-679	-679	-679
Effect of changes in exchange rates	-6	-1	0	0	5	(8)	6	(7)	0	0	0	0
Net cash increase (decrease)	-948	1,207	-311	116	-36	-930	555	69	1,361	2,294	3,432	4,263

Source: Company data, HSBC estimates

Valuation and risks

		Valuation	Risks to our view
STMicroelectronics STM FP	Current price:	Methodology: Target forward PE multiple Assumptions: Forward PE multiple of 18x on our 2030e EPS estimate and discounted back by two years. EURUSD spot rate of 1.15 (all assumptions are unchanged). We use a WACC of 9.67%, which is calculated using a risk-free rate of 4.25%, equity risk premium of 4%, and beta of 1.35 (all assumptions are unchanged). Our target price of EUR81.00 (from EUR84.00) implies 73.2% upside, and we maintain our Buy rating. For the ADRs (STM US, CMP USD51.54), we calculate a target price of USD93.00 (from USD97.00), based on our target forward PE multiple valuation and share conversion ratio of 1 to 1. For STM IM (CMP EUR46.79), we calculate a target price of EUR81.00, in line with STM FP.	Downside risks
	Target price:		◆ Slower-than-expected macroeconomic trends and trade/tariff effects driving a weaker demand recovery than we expect. ◆ Slower demand for power semiconductors driven by slowing adoption of electric vehicles, renewable energy sources, and AI data centre applications. ◆ Socket losses at large customers such as Apple, Tesla, and Mobileye. ◆ Inflationary cost increases and product mix shifts leading to lower profitability than we expect. ◆ Disruptions to supply leading to an inability to meet demand. ◆ Tariff changes which may impact demand and profitability directly or indirectly.
Buy	Up/downside:		

Priced at 24 Jul 2026
 Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Adithya Metuku, CFA

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

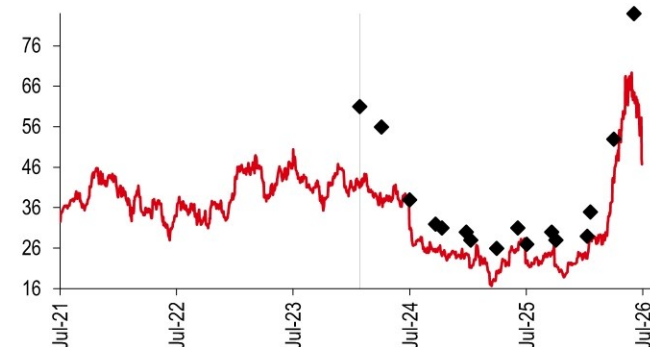
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

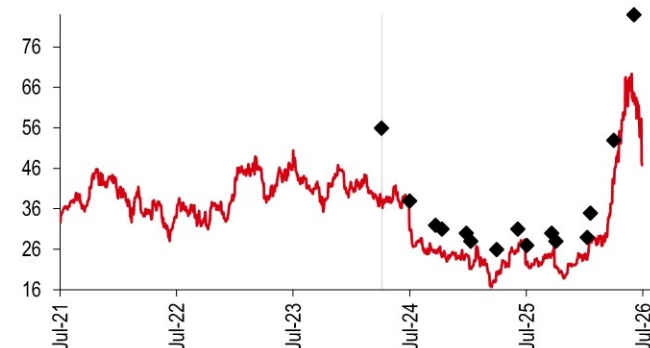
Share price and rating changes for long-term investment opportunities
STMicroelectronics (STMPA.PA) share price performance EUR Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Terminated	03 Nov 2015	
N/A	Buy	21 Feb 2024	Adithya Metuku, CFA
Target price	Value	Date	Analyst
Price 1	Terminated	03 Nov 2015	
Price 2	61.00	21 Feb 2024	Adithya Metuku, CFA
Price 3	56.00	29 Apr 2024	Adithya Metuku, CFA
Price 4	38.00	26 Jul 2024	Adithya Metuku, CFA
Price 5	32.00	15 Oct 2024	Adithya Metuku, CFA
Price 6	31.00	04 Nov 2024	Adithya Metuku, CFA
Price 7	30.00	20 Jan 2025	Adithya Metuku, CFA
Price 8	28.00	03 Feb 2025	Adithya Metuku, CFA
Price 9	26.00	25 Apr 2025	Adithya Metuku, CFA
Price 10	31.00	30 Jun 2025	Adithya Metuku, CFA
Price 11	27.00	28 Jul 2025	Adithya Metuku, CFA
Price 12	30.00	14 Oct 2025	Adithya Metuku, CFA
Price 13	28.00	27 Oct 2025	Adithya Metuku, CFA
Price 14	29.00	03 Feb 2026	Adithya Metuku, CFA
Price 15	35.00	13 Feb 2026	Adithya Metuku, CFA
Price 16	53.00	27 Apr 2026	Adithya Metuku, CFA
Price 17	84.00	29 Jun 2026	Adithya Metuku, CFA

Source: HSBC

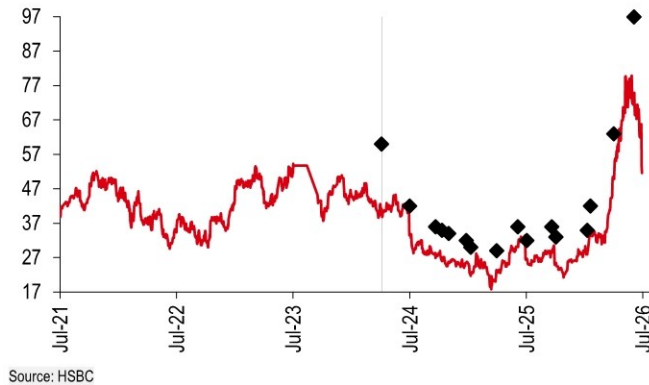
STMicroelectronics (STMMI.MI) share price performance EUR Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	29 Apr 2024	Adithya Metuku, CFA
Target price	Value	Date	Analyst
Price 1	56.00	29 Apr 2024	Adithya Metuku, CFA
Price 2	38.00	26 Jul 2024	Adithya Metuku, CFA
Price 3	32.00	15 Oct 2024	Adithya Metuku, CFA
Price 4	31.00	04 Nov 2024	Adithya Metuku, CFA
Price 5	30.00	20 Jan 2025	Adithya Metuku, CFA
Price 6	28.00	03 Feb 2025	Adithya Metuku, CFA
Price 7	26.00	25 Apr 2025	Adithya Metuku, CFA
Price 8	31.00	30 Jun 2025	Adithya Metuku, CFA
Price 9	27.00	28 Jul 2025	Adithya Metuku, CFA
Price 10	30.00	14 Oct 2025	Adithya Metuku, CFA
Price 11	28.00	27 Oct 2025	Adithya Metuku, CFA
Price 12	29.00	03 Feb 2026	Adithya Metuku, CFA
Price 13	35.00	13 Feb 2026	Adithya Metuku, CFA
Price 14	53.00	27 Apr 2026	Adithya Metuku, CFA
Price 15	84.00	29 Jun 2026	Adithya Metuku, CFA

Source: HSBC

**STMicroelectronics (STM.N) share price performance
USD Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	29 Apr 2024	Adithya Metuku, CFA
Target price	Value	Date	Analyst
Price 1	60.00	29 Apr 2024	Adithya Metuku, CFA
Price 2	42.00	26 Jul 2024	Adithya Metuku, CFA
Price 3	36.00	15 Oct 2024	Adithya Metuku, CFA
Price 4	35.00	04 Nov 2024	Adithya Metuku, CFA
Price 5	34.00	26 Nov 2024	Adithya Metuku, CFA
Price 6	32.00	20 Jan 2025	Adithya Metuku, CFA
Price 7	30.00	03 Feb 2025	Adithya Metuku, CFA
Price 8	29.00	25 Apr 2025	Adithya Metuku, CFA
Price 9	36.00	30 Jun 2025	Adithya Metuku, CFA
Price 10	32.00	28 Jul 2025	Adithya Metuku, CFA
Price 11	36.00	14 Oct 2025	Adithya Metuku, CFA
Price 12	33.00	27 Oct 2025	Adithya Metuku, CFA
Price 13	35.00	03 Feb 2026	Adithya Metuku, CFA
Price 14	42.00	13 Feb 2026	Adithya Metuku, CFA
Price 15	63.00	27 Apr 2026	Adithya Metuku, CFA
Price 16	97.00	29 Jun 2026	Adithya Metuku, CFA

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

**HSBC & Analyst disclosures
Disclosure checklist**

Company	Ticker	Recent price	Price date	Disclosure
STMICROELECTRONICS	STMPA.PA	46.76	24 Jul 2026	7

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 June 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- A covering analyst/s has received compensation from this company in the past 12 months.
- A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- As of 17 July 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 17 July 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

HSBC may use Artificial Intelligence (AI) tools approved for adoption within HSBC in the development of its research reports, utilizing these technologies to analyse large volumes of data, enhance efficiency and improve the overall user experience. This includes but is not limited to paraphrasing, developing suitable captions and supporting data visualisation. It is important to note that while AI tools assist in various aspects of report creation, all investment recommendations and opinions presented herein are formulated and approved exclusively by our research analysts. The final content of the report reflects the professional judgement and expertise of our research analysts, ensuring compliance with regulatory standards and maintaining the integrity of our research process.

Additional disclosures

- 1 This report is dated as at 28 July 2026.
- 2 All market data included in this report are dated as at close 24 July 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

Production & distribution disclosures

1. This report was produced and signed off by the author on 27 Jul 2026 12:59 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/nh7HLMZ>

Disclaimer

Legal entities as at 13 May 2026:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

HSBC Bank plc
 8 Canada Square
 London, E14 5HQ, United Kingdom
 Telephone: +44 20 7991 8888
 Fax: +44 20 7992 4880
 Website: www.research.hsbc.com

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority. If this research is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. The opinions contained within the report are based upon publicly available information at the time of publication and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. Past performance is not necessarily a guide to future performance. The value of any investment or income may go down as well as up and you may not get back the full amount invested. Where an investment is denominated in a currency other than the local currency of the recipient of the research report, changes in the exchange rates may have an adverse effect on the value, price or income of that investment. In case of investments for which there is no recognised market it may be difficult for investors to sell their investments or to obtain reliable information about its value or the extent of the risk to which it is exposed. HSBC Bank plc is registered in England No 14259, is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority and is a member of the London Stock Exchange.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. It may not be further distributed in whole or in part for any purpose. In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong or are necessarily suitable for any particular person or appropriate in accordance with local law. All inquiries by such recipients must be directed to The Hongkong and Shanghai Banking Corporation Limited. In Korea, this publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All U.S. persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB. Should you wish to use AI technology (computational, statistical, machine-learning or other artificial intelligence techniques to infer or learn from data to find patterns, take actions, make decisions, or generate output) to help you analyse, summarise or evaluate this publication and/or any other research materials provided to you by HSBC, you shall seek HSBC consent in advance of any such use and not upload this publication and/or any other research materials produced by HSBC to an AI system or otherwise use AI technology in connection with the research services HSBC provides to you without our consent.

© Copyright 2026, HSBC Bank plc, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of HSBC Bank plc.

[1283626]